

Profit Niti – AI Report [2025-01-01 / 2025-10-31]

Last Month KPI Data (October 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0



1. Big Picture — How the Business Looks Right Now

The business is in a critical financial situation, operating at a significant loss. For the last quarter of FY 2024-25, sales were ₹3,715 lakh, but the cost of goods sold was a staggering ₹5,702 lakh, leading to a gross loss of ₹1,986 lakh. This negative trend has continued into the first month of the new financial year (April 2025), with a net loss of ₹6,021 lakh. The company's total equity is deeply negative at -₹4,078 lakh, meaning the accumulated losses have completely eroded the capital and reserves. While the company has managed to reduce its long-term borrowings, its survival depends on urgent operational and pricing corrections.

GREEN FLAG BOX — What's Working Well

- **Strong Revenue Collection:** Accounts Receivable days are under control, averaging around 10 days, indicating efficient collection from customers.
- **Reducing Long-Term Debt:** Secured long-term borrowings have been consistently reduced from ₹3,835 lakh in Jan to ₹2,656 lakh in April, improving the debt profile.
- **Healthy Cash Balance:** Despite losses, the company maintains a cash balance of over ₹2,178 lakh, providing a crucial buffer for immediate operations.

RED FLAG BOX — What Needs Attention

- **Severe & Consistent Losses:** The business is selling at a huge loss. The gross margin was -88% in January and is still -61% in April, meaning costs are far exceeding sales prices.
- **Negative Net Worth (Eroded Equity):** Total equity is negative ₹4,078 lakh. This is a major solvency red flag and makes the company technically insolvent.
- **Negative Operating Cash Flow:** Cash from core operations was negative ₹11,301 lakh in April 2025. The business is burning cash to sustain its loss-making operations.

Strategic Advice:

Immediate priority is a complete review of your pricing and cost structure. You must either increase sales prices significantly or renegotiate supplier costs (COGS) to achieve a positive gross margin. Continuing at current loss levels will deplete your cash reserves rapidly. Simultaneously, explore ways to convert non-core assets (like non-current investments of ₹1,335 lakh) into working capital to buy time for this turnaround.